ALL FOR IMPACT *for* Catalytic Capital Consortium

How to unlock catalytic capital for African SMEs

A study undertaken by **All for Impact**
with the support of the **Catalytic Capital Consortium-C3**

Executive Summary – March 2026

Preamble / Disclaimer

This study was commissioned by the Catalytic Capital Consortium (C3), an investment, learning, and market development initiative started by a group of funders to promote greater and more effective use of catalytic capital and enable a more just, equitable, and resilient world. It was conducted by All for Impact to explore **how catalytic capital can be mobilized more effectively to support African Small and Medium-sized Enterprises (SMEs) through the investment intermediaries that finance them.**

In line with C3's definition, **catalytic capital is debt, equity, guarantees, and other investments that accept disproportionate risk and/or concessionary returns relative to a conventional investment in order to generate positive impact and enable third-party investment that otherwise would not be possible.**

This report is intended to inform all those who are **committed to the supply and deployment of catalytic capital in African SMEs:**

- **Asset owners** looking for practical pathways to deploy catalytic capital
- **Asset managers and investment intermediaries** seeking to better understand the landscape of catalytic capital providers, their motivations, and the barriers they face
- **Ecosystem builders—including networks, Development Finance Institutions and platforms**—who can help foster collaboration, develop coalitions, and support initiatives that unlock catalytic capital at scale.

The intention behind sharing our work and findings is to contribute to a shared understanding of emerging practices and to support dialogue among stakeholders seeking to mobilize more catalytic capital in support of African SMEs and their investment intermediaries. **The initiatives presented in this report are illustrative examples**, selected to highlight practical approaches and potential partnership opportunities. They do not constitute an exhaustive mapping of the ecosystem.

Why is there a massive need to unlock catalytic capital for African Small and Medium sized enterprises (SMEs)

Empirical methodology, grounded in the co-founders' 15+ years of experience in African SME finance

Emilie DEBLED

Catherine DUBREUIL LE ROY

Methodology : Completed with **Desk research and literature review** / 50+ **strategic interviews (**SME intermediaries : SME funds, MFIs, fintechs, Network and Ecosystem stakeholders, Capital providers to African SME intermediaries)/ **An online** LinkedIn poll to gather insights from African Angel and Diaspora investors

Timeframe : July- December 2025

1

African SMEs play a vital role in job creation, stronger local value chains, and inclusive growth across the continent. Yet SME finance still falls far short of demand, and the gap is widening as international capital and ODA—historically major sources of funding—come under increasing pressure..

2

At the same time, **the African SME financing ecosystem is vibrant:** 255 SME funds operate across the continent (1), and 80% are currently raising funds (2). These intermediaries are typically small (US$10–50m), reflecting market size and maturity. They are critical to provide growing businesses with capital and technical assistance—and to help create millions of jobs for Africa's youth.

3

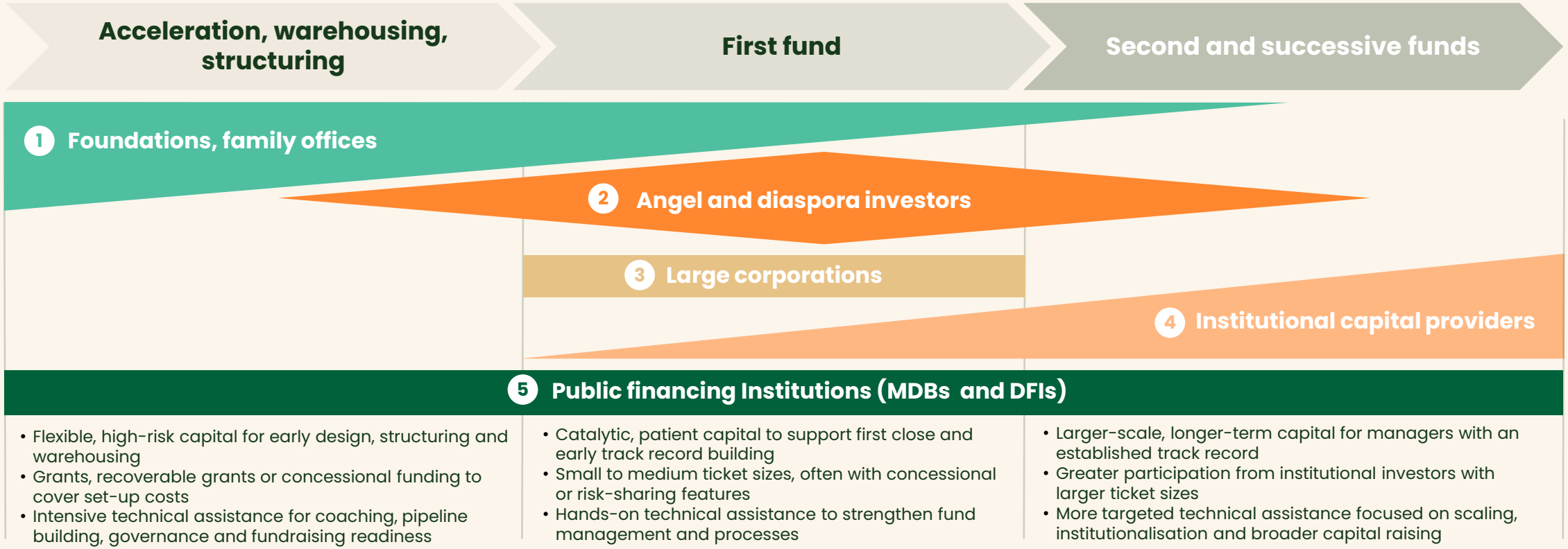
Given current market dynamics**, catalytic—patient, risk-tolerant, and impact-driven—capital can play a transformative role** by unlocking financing tailored to African SMEs and their intermediaries..

This study maps existing and emerging catalytic capital for African SME intermediaries and identifies pathways to mobilize and scale it. It draws on 35+ case studies and spotlights 15 initiatives as concrete partnership opportunities (grants, investments, co-investments) to unlock catalytic capital.

Grants Investments Partnership

1. ***Impact Investing in Africa: A 2024 Analytical Map (FERDI)*** : https://ferdi.fr/en/publications/impact-investing-in-africa-a-2024-analytical-map
2. ***How can African SME funds mobilize more capital? (2025) - Investisseurs & Partenaires (I&P)*** · https://www.ietp.com/en/content/how-can-african-sme-funds-mobilise-more-capital

Building on the existing continuum of funding for SME funds, and catalytic capital needs



The continuum shows how philanthropic actors pave the way, catalytic capital providers bridge and scale first time funds, and institutional investors bring long-term capital once funds mature. MDBs and DFIs operate across the continuum, using a diversity of blended finance tools.

Segmenting the diversity of catalytic capital providers

Major trends, drivers, challenges and pathways to unlock catalytic capital

	1 Family Offices and Foundations	2 African angel and diaspora investors	3 Large corporations	4 African institutional investors	5 Public financing institutions
TRENDS / DRIVERS/CHALLENGES	• **Trend**: Continued focus on philanthropy in social sectors and commercial investment approaches, with selective commitments to impact-oriented initiatives • **Driver**: Purpose alignment with long-term local economic development • **Challenge**: Limited familiarity with catalytic/ blended instruments	• **Trends**: Rapid growth of angel networks (10 → 75 in a decade). Diaspora remittances significant, yet mostly informal • **Drivers**: Proximity to entrepreneurs and strong diaspora engagement • **Challenges:** Fragmentation and high structuring /transaction costs	• **Trend:** Launch of corporate impact funds & strategic skills-based volunteering programs • **Driver:** Strategic alignment with core business, innovation agenda, CSR motivations • **Challenge:** Governance constraints and misaligned investment timelines	• **Trend:** Growing domestic capital pools and sovereign vehicles • **Driver**: Long-term liabilities suited to patient capital • **Challenge**: Fiduciary constraints and ticket-size mismatch	• **Trend:** Increasing focus on private capital mobilisation • **Driver**: Mandate to support jobs, inclusion and resilience • **Challenge**: Complexity of processes and coordination, compared to the transactions' size
HOW TO UNLOCK CATALYTIC CAPITAL?	• Create **learning loops** (peer exchange, shared diligence) • Fund **technical assistance and ecosystem coordination** • Develop **co-investment opportunities** with like-minded investors	• Need for **syndication infrastructure & investment aggregation** mechanisms • Develop **diaspora investments/retail products** • Investor education & shared standards	• Anchor commitments into corporate impact funds • **Sector-focused ecosystem** platforms (climate, agri, energy) • Structured skills-based volunteering & technical assistance partnerships	• **Fund-of-funds structures** to aggregate exposure and mitigate risks • **Guarantees and first-loss layers** to de-risk participation • Regulatory dialogue and pipeline sharing	• Coordinated platform-based mobilization strategies • Develop more instrument–market fit for smaller/local funds **using blended finance and local partners**
EX. INITIATIVES	avpa, Catalytic Capital Consortium, FRFIP Foundation, 7 Generations Africa	WIC Women's Investment Club Senegal, ABAN African business angel network, African Angel Academy, Catalytic Africa	OCP, bpifrance, GAIA Impact, Schneider Electric, Partners in Food Solutions	Ci-GABA Fund for Funds, Oryx Impact	ICAMA Innovative Capital Mobilisation in Africa, fsdafrica, Hub IYBA SEED

Key recommendations
to unlock more catalytic capital for African SME intermediaries

1. Activate 3 System-Level Enablers

EDUCATION / TRAINING

- Foster peer learning and cross-LP exchanges
- Build investor cap<ability on catalytic tools (first-loss, matching funds, warehousing,…) through education and training
- Promote a stronger narrative on African SMEs and SME funds

TOOLS/ ENABLING ENVIRONMENT

- Strengthen enabling frameworks (investment platforms, syndication mechanisms, liquidity facilities)
- Provide tools and improve transparency and benchmarking of SME funds (risk/return/impact)

ACCESS TO DERISKED INVESTMENT OPPORTUNITIES

- Expand de-risking mechanisms (first-loss, guarantees and matching funds)
- Build a shared pipeline/database of investable SME funds to facilitate sourcing, due diligence and co-investment

2. Solve the transaction-size mismatch through a range of aggregation vehicles

- *Wholesalers:* funds-of-funds enabling large institutional investors to access smaller SME funds
- *Aggregators:* platforms/SPVs allowing smaller investors (Angels, Diaspora) to invest via pooled vehicles

3. Build thematic coalitions of impact-driven investors to concentrate resources, learning and pipeline on Climate, Gender, Food Security…

4. Replicate proven locally rooted mechanisms, while adapting to the market realities of each of the 54 African countries.

ALL FOR IMPACT *for* Catalytic Capital Consortium

Thank you!

We are grateful to the Catalytic Capital Consortium – C3 for funding this study and for generously sharing its deep expertise, insights, and networks.
To reach out to C3: C3grantmaking@newventurefund.org

To access the key takeaways go on www.allforimpact.com

To learn more or continue the conversation

Emilie Debled — Paris, France - emilie@allforimpact.com
Catherine Dubreuil-Le Roy — Mauritius - catherine@allforimpact.com